DIGITAL ASSETS

// A DEFINING ASSET CLASS FOR THIS MILLENNIA

STIRLING & ROSE

THE FUTURE GLOBAL ECONOMY WILL BE BUILT ON DIGITAL ASSETS

STIRLING & ROSE
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DIGITAL ASSETS? DO YOU MEAN BITCOIN?

Digital assets are more than just bitcoin, they are a broad church of code based assets.

Digital assets can be anything from a digital representation of a fish, to a self- programmable song, to a digital dollar. There are endless possible variations in digital assets.

A new generation of unicorns are rising with business models based on the trading and servicing of digital assets.

Organisations are experimenting, but bigger use cases are coming.

The law can help you own, protect and gain real time insights into your digital assets. Your board and business leaders have opportunities and obligations going forward.

INTO THE UNKNOWN

Being made of code, digital assets do not exist in the physical and (for now) they are not tangible.

The destruction of digital assets also requires code. From weaponised cybersecurity hacks to use of the humble delete button, secure digital assets requires secure & trusted infrastructure.

Digital assets are exponentially increasing in volume and complexity, with the digital economy predicted to account for 30% of value in the global economy by 2030.

Although they only exist in cyberspace, digital assets are recognised by the law as real.

Much like databases, digital assets can grow and change, and as a result can be complex to own and control. Nonetheless, their perceived value has necessitated that the law recognise them.

EVOLVING REGULATION

Digital assets are increasingly being incorporated into existing and expanding global legal and regulatory frameworks based on the features, rights and obligations that accompany them. Corporate law already exists in most established jurisdictions, requiring entities that deal in financial products & services to have appropriate licences.

Code is the ultimate potter's clay - attempts to create static legal categories for digital assets is a fool's errand. A digital lottery ticket can become a digital child's toy with the right editing rights. But a lottery ticket and a child's toy have very different risk profiles and therefore different legal and regulatory requirements.

Legal issues may cover many different activities, entities and relationships. Sometimes, analogue law does not fit neatly into the digital realm and traditional assumptions may not be accurate.

Perhaps most importantly, you cannot assume you can delegate your legal rights and obligations to a machine or algorithm.

BIG TICKET SHIFTS

As the digital asset ecosystem grows, so does the opportunity for business.

Future digital asset use cases include:

1. **Private & tradeable property** in an increasingly immersive cyberspace, for example in-game and metaverse assets.

2. Enterprise level **smart (and legal) contracts** like leases, bonds and project contracts.

3. **Complex Money**: Endlessly divisible, endlessly replicable, programmable, composable, data producing and collecting money which can provide real time accurate revenue sharing.

HOW CAN LEGAL HELP?

Those with an interest in issuing, dealing, investing in or servicing digital assets and platforms should consider the following legal questions:

Financial Products and Services, Liquidity, Collateral and Custody Guidelines
Do my digital assets have lending or credit style features? What traditional financial services or market licences do I need?

Property Rights
Are Digital Assets property? Can I define and defend ownership over this property? Can I trade this property and realise gains and losses over it?

ESG, Human Rights and Anti-Discrimination Laws
Can I imprison a smart contract avatar that resembles my employee? Are my digital assets running on an environmentally friendly platform?

AML and CTF
Do my digital assets have terrorism or anti-money laundering risks and obligations?

Consumer Protections
Are the statements about my digital assets true? Does this digital asset business enable a safe environment for consumers, prevent litigation, backlash and reputational damage?

Cybersecurity and Privacy Laws
Am I ensuring that data and data flows around my digital assets or digital asset business are protected for the right people at the right time? When there is a breach, do the right people know about it?

Gambling and Gaming
Do I have any traditional licensing obligations around cyber gambling and gaming?

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CREDENTIALS

A WORLD CLASS TEAM

TOP TIER EXPERTISE WITH
BOUTIQUE SERVICE

Natasha Blycha - Managing Director

Natasha is one of the world's pre-eminent smart contract and distributed ledger technology experts. She is ranked in the Chambers 2023 FinTech Legal Practice Area. The former Global Head of a Digital Law practice of a major international law firm spanning 15 offices, Natasha is regarded as a world leading expert on blockchain and digital assets, web 3.0, digital ethics, and human rights. Natasha sits on the Law Council of Australia's Digital Commerce and Financial Services Committees and is a Member of the DAO and Digital Assets Advisory Panels for the Law Commission of England and Wales. Natasha co-authored the Oxford Smart Legal Contracts textbook and was named the Financial Times' Most Innovative Lawyer.

James Myint - Managing Partner

James was the Australian Head of a major international law firm's Digital Law practice and a founding member of an international law firm's market-leading restructuring practice. James leads Stirling & Rose's finance and restructuring practice, with significant local and global experience in high complexity 'first of their kind' transactions with a cross-jurisdictional focus, working in New York, Tokyo and Sydney. James advises major companies, funds, investors, financial institutions and blockchain platforms, specialising in Smart Legal Contracts, CBDCs, DeFi, and novel financings.

SJ Price - Partner

SJ is a global machine learning and digitisation expert and leads our AI Advisory Practice. She has over 20 years' experience in international resources companies, including leading global multidisciplinary innovation teams and has led the legal work for multi-billion dollar energy projects. SJ founded and was the inaugural chair of the AU Legal Technology and Innovation Community for the Association for Corporate Counsel. She has served on leadership teams for multi-billion-dollar projects and M&A deals.

Bridget Nichols - Expertise Counsel

Bridget is a data and technology lawyer, with extensive legal and commercial experience within the global financial markets including supporting banking, exchange and brokerage businesses Hong Kong, Japan, Singapore, Taiwan and Korea. Bridget holds 18 years' experience in building legal, commercial, and operating frameworks for new businesses in the financial markets, data analytics and telco industries, including roles at exchange operators in Australia and Europe and at Institutional Banks in APAC, Europe and America.

Dr Jason Allen - Expertise Counsel

Jason is widely recognized as a leading expert on digital platforms and financial systems architecture. He has advised central banks, regulators, and technology companies in Europe, the USA and APAC. Author of the seminal text on SLCs together with leading publications on blockchain and DLT, the role of law in cyberspace and machine learning. Jason has vast cross jurisdictional expertise on Digital Assets, FinTech and RegTech.